and private tutors. Because middle class parents do not have the ability to give their children similar capabilities, they do not see the system as fair. Support for the free enterprise system is eroding, as witnessed by the popularity of books like Thomas Pikkety's *Capital in the 21st Century* while the influence of illiberal parties on both the Left and Right who promise to suppress competition, finance, and trade is increasing. The mutual support between free enterprise and democracy is giving way to antagonism.

Moreover, as class differences create differentiated capabilities among the public, governments can either continue choosing the most capable applicants for positions but risk becoming unrepresentative of the classes, or they can choose representativeness over ability, and risk eroding effectiveness. Neither biased nor ineffective government can administer well. So government capacity may also be threatened.

Thus, as the bedrock of equitable distribution of capabilities has started developing cracks in industrial countries, all four pillars supporting the liberal free market democracy have also started swaying. This is, to my mind, an enormously important concern that will occupy states across the world in the years to come.

LESSONS FOR INDIA

Let me conclude with lessons for India. India inherited a kind of democracy during British rule and has made it thoroughly and vibrantly her own. Of the three pillars that Fukuyama emphasizes, the strongest in India is therefore democratic accountability. India also adheres broadly to the rule of law. Where arguably we may have a long way to go, as Fukuyama has emphasized, is in the capacity of the government (and by this I mean regulators like the RBI also) to deliver governance and public services.

This is not to say that we do not have areas of excellence strewn throughout central and state governments – whether it is the building